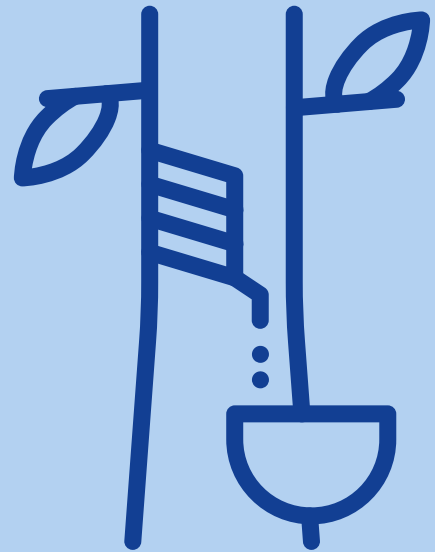




Analysis of Relevant National Legislation in the context of the EUDR for Commodities in Malaysia

(focus on rubber and timber sectors)



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ABBREVIATION

2030 Agenda	2030 Agenda for Sustainable Development
AMLA	Anti-Money Laundering, Anti-Terrorism Financing and Proceeds of Unlawful Activities Act 2001
APEC	Asia-Pacific Economic Cooperation
CITES	Convention in International Trade in Endangered Species
COP	Conference of the Parties
DD	Due Diligence
EGILAT	Experts Group on Illegal Logging and Associated Trade
EU	European Union
EUDR	European Union Deforestation Regulation
FDS	Forest Department Sarawak
FPIC	Principle of Free, Prior, and Informed Consent
FSC	Forest Stewardship Council
IACC	Implementing Agency Coordination Committee
J. En. 12/1985	Johore National Forestry (States of Malaysia) (Adoption) Enactment
JKM3PA	Sub-Committee Meeting on Mitigation of Legal Compliance in International Timber Trade
JUPEM	Department of Survey and Mapping in Malaysia
K. En. 2/1986	Kedah National Forestry (States of Malaysia) (Adoption) Enactment 1985
Kn. En. 11/1985	Kelantan National Forestry (States of Malaysia) (Adoption) Enactment
LAA	LAND Acquisition Act 1960
LDA	LAND Acquisition Act 1956
LIGS	Sabah Rubber Industry Board

List	Federal List
List II	State List
List III	Concurrent List
List IIIA	Supplementary matters for Sabah and Sarawak
M. En. 4/1985	Malacca National Forestry (States of Malaysia) (Adoption) Enactment
MACC	Malaysian Anti-Corruption Commission
MACC Act	Malaysian Anti-Corruption Commission Act 2009
MINTRED	Ministry of International Trade, Industry and Investment of Sarawak
MPSO	Malaysian Sustainable Palm Oil
MRB	Malaysian Rubber Board
MRC	Malaysian Rubber Council
MSNR	Malaysian Sustainable Natural Rubber
MTC	Malaysian Timber Council
MTCC	Malaysian Timber Certification Council
MTCS	Malaysian Timber Certification Scheme
MTIB	Malaysian Timber Industry Board
MyTLAS	Malaysia Timber Legality Assurance System
N.S. EN. 5/1986	Negeri Sembilan National Forestry (State of Malaysia) (Adoption) Enactment
NCR	Native Customary Rights
NFA	National Forestry Act 1984 (Act 313)
NGO	Non-Governmental Organisation
NLC	National Land Code 1965
NRES	Ministry of Natural Resources and Environmental Sustainability
OSA	Official Secrets Act 1972

PAT-G	Rubber Transaction Authority Permit
PDPA	Personal Data Protection Act 2010
PEFC	Programme for the Endorsement of Forest Certification
Pg. En.2/1986	Penang National Forestry (States of Malaysia) (Adoption) Enactment
Phg. En. 6/1986	Pahang National Forestry (States of Malaysia) (Adoption) Enactment
Pk. En. 3/1985	Perak National Forestry (States of Malaysia) (Adoption) Enactment
Ps. En. 1/1988	Perlis National Forestry (States of Malaysia) (Adoption) Enactment
QR	Quick Response
REDD+	Reducing Emissions from Deforestation and Forest Degradation, plus the conservation, sustainable management of forests, and enhancement of forest carbon stocks.
SARIB	Sarawak Rubber Industry Board
SDG	Sustainable Development Goals
Sel. En. 5/1985	Selangor National Forestry (States of Malaysia) (Adoption) Enactment
SFC	Sarawak Forestry Corporation
SFD	Sabah Forestry Department
SOP	Standard Operating Procedures
STIDC	Sarawak Timber Industry Development Corporation
STLVS	Sarawak Timber Legality Verification System
SUHAKAM	Human Rights Commission of Malaysian
TLAS	Timber Legality Assurance System
Tr. En. 1/1986	Terengganu National Forestry (States of Malaysia) (Adoption) Enactment
UN-REDD	United Nations Programme on Reducing Emissions from Deforestation and Forest Degradation
UNDRIP	United Nations Declaration on the Rights of Indigenous People
UNFCCC	United Nations Framework Convention on Climate Change



INTRODUCTION

1. BACKGROUND AND SCOPE OF ANALYSIS

The European Union (EU) has adopted the European Deforestation Regulation (EUDR) to minimize the EU's contribution to deforestation and forest degradation worldwide. According to Article 3 of the regulation, relevant commodities and products can only be placed on the EU market or exported from there if: (a) they are deforestation-free; (b) they have been produced in accordance with the relevant legislation of the country of production; and (c) they are covered by a due diligence statement. The EUDR entered into force on 29 June 2023 and will enter into application for larger operators and traders on 30 December 2025, and for micro and small enterprises on 30 June 2026. The EUDR covers seven commodities, namely cattle, cocoa, coffee, oil palm, rubber, soya, and wood, as well as certain derived products (*Article 1*).

A central component of the EUDR is the due diligence requirement, which mandates that both operators and traders assess their supply chains to ensure compliance with the regulation. Operators, defined under Article 2(15) as any natural or legal person engaged in a commercial activity, who places relevant products on the EU market or exports them from there, and traders, defined under Article 2(17) as anyone else in the supply chain who makes products available for sale on the EU market, must ensure their products comply with legal requirements and are deforestation-free. Article 2(16) clarifies that 'placing on the market' refers to the initial availability of a relevant commodity or product within the EU market. Furthermore, Article 7 stipulates that when relevant products are placed on the market by operators established in third countries, the 'operator' is considered to be also the first natural or legal person established in the EU who makes those products available.

In such a situation, there will be two operators within the meaning of the regulation – one established outside and one inside of the EU. This research will focus on the responsibilities of EU operators in relation to Malaysian legal requirements.

As specified in Articles 3(b), 2(40), and in connection with Articles 8 and 9(1)(h), operators are required to verify that their products comply with the relevant national laws of the country of production. They must collect, organise, and retain information, documents, and data for five years from the date the products are placed on the market or exported. This information must provide clear and verifiable evidence of compliance with the laws of the production country.

This study specifically examines Malaysian laws related to the timber and rubber industries to identify the key areas operators must consider for EUDR compliance. EUDR Article 2 (40) on 'relevant legislation of the country of production' specifies the areas of laws applicable in the country of production concerning the legal status of the area of production in terms of: (a) Land Use Rights, (b) Environmental Protection, (c) Forest-Related Rules, (d) Third-Party Rights, (e) Labor Rights, (f) Human Rights, (g) The Principle of Free, Prior, and Informed Consent (FPIC), and (h) Tax, Anti Corruption, Trade, and Customs Regulations. With the exception of Forest-Related Rules, Tax, Customs Regulations, and environmental protection, which have specific application to the timber and rubber industries in Malaysia, all the other due diligence requirements apply to both industries and thus will be considered together to avoid repetition.

The EUDR takes a flexible approach by listing a number of areas of law without specifying particular laws, as these differ from country to country and may be subject to amendments. However, only the applicable laws concerning the legal status of the area of production constitute relevant legislation pursuant to Article 2(40) of the EUDR. This means that generally the relevance of laws for the legality requirement in Article 3(b) of the EUDR is not determined by the fact that they may apply generally during the production process of commodities or apply to the supply chains of relevant products and relevant commodities. Instead, the relevance of legislation is determined by the fact that these laws specifically impact or influence the legal status of the area in which the commodities were produced.

Additionally, Article 2(40) of the EUDR must be read in the light of the objectives of the EUDR as laid down in Article 1(1)(a) and (b). That means that legislation is also relevant if its contents can be linked to halting deforestation and forest degradation.

This study clarifies which existing laws operators are required to follow to access the EU market. The goal is to provide guidance to help operators sourcing from Malaysia to meet EUDR due diligence requirements and reduce risks and inform policy makers in Malaysia on their options to enhance the enabling environment.

2. RESEARCH OBJECTIVES

The research objectives of this study are:

- (i) To identify existing laws, statutes, regulations, certifications and standards, regulatory documents, and/or guidelines related to the rubber and timber sectors in Malaysia, which are of relevance in the EUDR related context.
- (ii) To identify the key requirements and obligations imposed by the national and local regulations.
- (iii) To identify commonalities, overlaps, and gaps in the existing regulations as compared to the requirements under the EUDR, particularly in relation to the matters stated in *Article 2(40)* of the EUDR as well as provisions on traceability and data protection.
- (iv) To engage with the relevant governmental ministries and/or agencies with a view to ascertaining laws, statutes, regulations, certifications and standards, regulatory documents and/or guidelines that are relevant in the EUDR context, being developed but not yet publicly available, such as the Malaysian Sustainable Natural Rubber guidelines.
- (v) To identify key challenges for operators to meet the EUDR's legality requirements in relation to rubber and timber exports.
- (vi) To provide preliminary recommendations based on the findings to guide decision-makers or stakeholders on potential actions or policies to support and prepare supply chain actors for EUDR implementation.

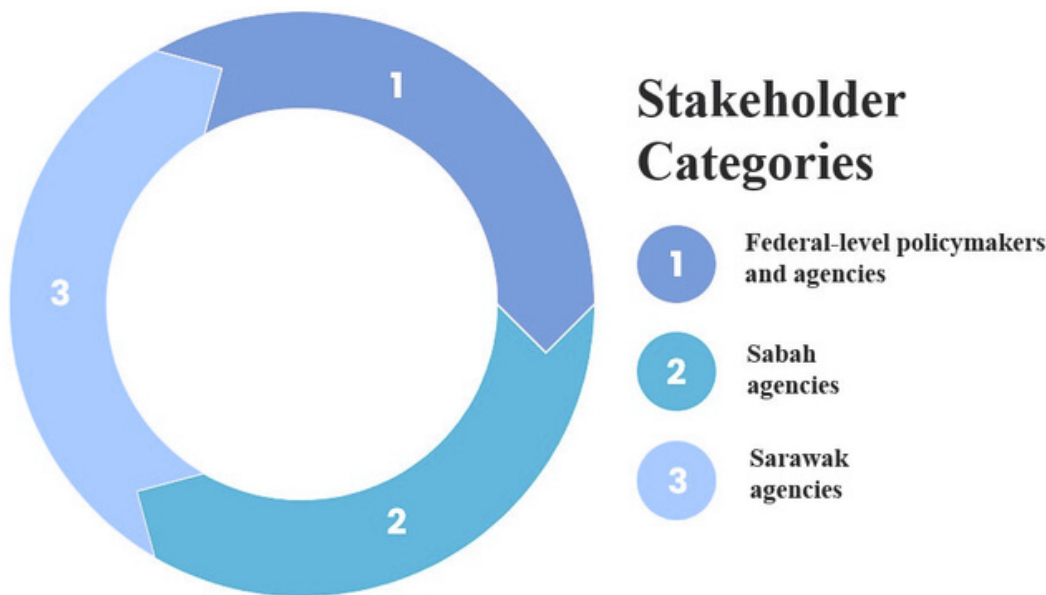
3. METHODOLOGY

Methodology

Study on Analysis of Available National Regulation as a Basis for Legality Requirements According to the EUDR for Commodities in Malaysia (focus on Rubber and Timber)



4. RELEVANT STAKEHOLDERS



Government agencies at both the federal and state levels involved in the rubber and timber industries were identified as stakeholders due to their critical role in overseeing, regulating, and supporting the production of these commodities in Malaysia. The main production areas for rubber and timber are heavily influenced by policies and initiatives driven by these agencies. Their involvement spans land management, licensing, compliance monitoring, and enforcement of sustainability standards, making them indispensable to the governance and administration of these industries. As the commodities in question fall under the purview of both federal and state jurisdictions, the active engagement of these agencies is vital to ensure alignment with local laws and international market requirements, including compliance with regulatory frameworks like the EUDR.



RELEVANT LEGISLATION IN MALAYSIA TO MEET THE REQUIREMENTS UNDER THE EUDR

“Relevant legislation of the country of production” under Article 2(40) refers to the laws in the country of production that govern the legal status of the production area. Additionally, Article 2(40) of the EUDR must be read in the light of the objectives of the EUDR as laid down in Article 1(1)(a) and (b). That means that legislation is also relevant if its contents can be linked to halting deforestation and forest degradation. The relevant legislative framework in the Malaysian context is provided below.

1. LAND-USE RIGHTS

Legislation	Section/Provision (Important)	Key Points to Check for DD (Operator Focus)
Federal Constitution	Article 91: Sets up the National Land Council. The duty of the Council is to formulate from time to time in consultation with the Federal Government, State Governments and the National Finance Council, a national policy for the promotion and control of the utilization of land throughout the Federation for mining, agriculture, forestry or any other purpose, and for the administration of any laws relating to it. Does not apply to Sabah and Sarawak.	None.

Article 83

None

Although land is a State matter, the Federal Government is allowed to acquire land for federal purposes with suitable remuneration.

Article 92

None

The King may declare an area as a development area if conducive to national interest.

Article 89

Operators must verify with suppliers that commercial activities, including rubber and timber production carried out on Malay Reserve Land are owned and operated only by Malays.

State Government may declare a land as a Malay reservation. 'Malay reservation' is defined as 'land reserved for alienation to Malays or to natives of the State in which it lies'.

Does not apply to Sabah and Sarawak.

Article 161A(5)

Operators must verify with suppliers that commercial activities, including timber and rubber production conducted on alienated and native customary land have the landowner's consent and the necessary approvals from the relevant authorities.

Constitutional guarantee for any State law in Sabah or Sarawak to provide for the reservation of land for natives or for alienation of land to them, or for giving preferential treatment as regards alienation of land by the State.

Article 90

Operators must verify with suppliers that commercial activities, including rubber and timber production carried out on Malay Holdings land must be owned and operated by Malays in accordance with conditions under applicable state laws.

Saves the existing law relating to customary land in Negeri Sembilan and Melaka and the existing law in Terengganu with respect to Malay holdings.

**National Land
Code 1965 (NLC)**

Only applicable in
Peninsular Malaysia

Governs the tenure of land in Malaysia, which in turn is based on the Torrens system, where title to or interest in land vests and divests only upon registration. In order that a title or interest is validly created in respect of land, the provisions of the NLC must be complied with.

Dealings which are capable of being registered are transfers, leases, charges and easements. Dealings which are not capable of being registered, namely tenancies and liens, may be protected by way of an endorsement and the entry of a lien-holder's caveat respectively on the register document of title.

The NLC also affords protection to persons acquiring rights under any registrable transaction, which has yet to be registered. This is done by entering a caveat over the land. A caveat serves as a notice to the world at large that the person entering the caveat has an interest in the land and prohibits subsequent dealings with the land.

**Land Acquisition
Act 1960 (LAA)**

Only applicable in
Peninsular Malaysia

Allow the government to compulsorily acquire any land which is needed for public purposes, economic development, mining, agricultural, commercial, industrial or recreational purposes. The landowner will be reasonably compensated for the loss of his land.

Operators should confirm with the supplier that there are no disputes regarding land ownership and no caveats on the land, ensuring compliance with land-use laws by the supplier.

For Operators, no action is required under the LAA, but they should note that land in Malaysia may be subject to compulsory government acquisition with notice, potentially affecting supply chains.

Land Conservation Act 1960 Only applicable in Peninsular Malaysia	Seeks to conserve hill land and protect soil from erosion and silt. No person is allowed to plant any short-term crops on hill land, or clear any hill land or interfere with, destroy or remove any trees, plants, undergrowth, weeds, grass or vegetation on or from any hill land, unless with a permit from the Land Administrator to clear the hill land.	Operators must verify that suppliers have obtained the necessary permit from the Land Administrator for any hill land clearing, ensuring compliance with the Act.
Land Development Act 1956 (LDA) Only applicable in Peninsular Malaysia	When any immovable property, not being State or Federal land, is needed to be acquired for the purposes of the LDA, such property may be acquired in accordance with any written law relating to the acquisition of land for a public purpose for the time being in force in Malaysia. This would mean that the provisions of the Land Acquisition Act 1960 would apply in this case.	For Operators, no action is required under the LDA, but operators should note that land in Malaysia may be subject to compulsory government acquisition with notice, which could impact supply chains.
Aboriginal People Act 1954 Only applicable in Peninsular Malaysia	Sections 6, 7 and 12 Allows the State Authority to declare aboriginal areas and reserves, but these areas and reserves may be revoked with requisite compensation. No licence to collect forest produce (including harvesting timber) may be issued to non-aborigines or commercial entities without first consulting the Director General of Orang Asli affairs. Where such a licence is granted, it may require employing a specified proportion of aboriginal labour.	Operators must verify with suppliers if the land is within aboriginal areas or reserves. If so, all commercial activities (including timber production) must only be carried out with the relevant licence, and all conditions of the licence must be met.
Sabah Land Ordinance 1930 Only applicable in Sabah	Section 15, 16 and 27 Native customary rights ('NCR') include land held under customary tenure, fruit trees, economically valuable plants, grazing land, cultivated or built land, burial	Operators must verify with suppliers that the land used for timber and rubber harvesting does not violate native customary rights (NCR).

grounds, and rights of way. When these rights are recognized, the Government can compensate the claimant with money or land, with the affected land being considered surrendered if compensation is accepted. Compensation is determined according to the Land Acquisition Ordinance, following the procedures.

Sarawak Land Code 1958 (Cap 81)

Only applicable in Sarawak

Section 8 and 9

Non-natives of Sarawak are generally prohibited from dealing with or acquiring rights over Native Area Land, Native Customary Land, or Interior Area Land.

However, non-natives may acquire rights or interests under specific exceptions, including:

- a) laws on mineral prospecting or forest produce extraction,
- b) if the non-native is subject to native personal law,
- c) if they hold a valid permit under relevant land rules,
- d) if they are deemed a native by the State Government, and
- e) if they are issued a licence to extract materials such as earth or gravel under the Land Code.

Side note: The definition of Native Customary Rights land under the MPSO Guidelines 2.2 and Conclusion affirms that it is primarily agricultural land recognised under the Sarawak Land Code, used by indigenous communities for subsistence and economic activities.

Operators must verify with suppliers that:

- (i) all activities involving rubber on these lands can only be carried out by natives; and
- (ii) the extraction of timber and rubber wood from these lands is allowed, subject to the consent of the landowner and approval from the authority.

2. ENVIRONMENTAL PROTECTION

In Malaysia, environmental protection is governed by a combination of laws, policies, and regulations designed to safeguard natural resources, promote sustainable development, and address pollution. Please find more details see under 'Rubber' and 'Legal Gaps and Challenges' sections below.

Legislation	Section/Provision (Important)	Key Points to Check for DD (Operator Focus)
Natural Resources and Environment Ordinance 1958 (Cap 84) Only applicable in Sarawak	Section 11A The Board may, following rules established under section 18, issue orders published in the Gazette requiring any person engaged in logging operations in previously logged forest areas or in areas designated as closed by the Director of Forests to report on their logging activity impacting the environment and natural resources.	Operators must ensure suppliers report logging activities impacting the environment and natural resources when carrying out timber operations in previously logged or closed forest areas.
Natural Resource and Environment (Prescribed Activities) Order, 1994 Only applicable in Sarawak	Article 6 No logging shall be carried out unless: (1) The Board permits in writing for logging to commence after considering the report submitted as per Article 3; and (2) The person who intends to carry out logging has undertaken in writing to comply with the orders made by the Board and allow the Board to carry out such works as the Board may deem necessary under Section 11 of the Ordinance.	Operators must verify with suppliers that they have obtained written permission from the Board and provide a written undertaking to comply with all Board directives before commencing any logging activities.

3. THIRD PARTY RIGHTS AND THE PRINCIPLE OF FREE, PRIOR, AND INFORMED CONSENT

Please see under 'Legal Gaps and Challenges' section below.

4. LABOUR RIGHTS

Legislation	Section/Provision (Important)	Key Points to Check for DD (Operator Focus)
Children and Young Persons (Employment) Act 1966 (Act 350)	Section 1A, 2(2) and 2(3): This section provides for the types of employment that can be engaged by a child (below the age of 15) and young person (below the age of 18). A child may be engaged in employment involving light work suitable to their capacity, any public entertainment as stipulated under the Act, works which have been approved by the Federal Government or the State government and any apprenticeship as approved by the DG, with whom the contract has been filed. 'Light work' has been defined under the Act as any work performed by a worker either while sitting, with moderate movement of the arm, leg and trunk or while standing, with mostly moderate movement of the arm. As for young persons, they can be engaged in any employment suitable to their capacity, as a domestic servant, in any offices, shops, industrial undertaking suitable to their capacity, on any vessel under the personal charge of their parents, etc. It also provides that 'agricultural undertaking' means any employment for the purposes of agriculture or horticulture (among others) but does not include any work performed in a forest.	Operators must confirm with suppliers that the provisions of this law are complied with.

Additionally, agricultural training (by family members) could be considered as apprenticeship because these provisions stipulate that a child may be engaged in the employment in any undertaking carried out by his family and that the apprenticeship is to be approved by the Director General.

Section 3:

This section states that the Minister may prohibit any child or young person from being engaged in any employment as stated in section 2 if it would be detrimental to the interests of the child or young persons.

Operators must confirm with suppliers that the provisions of this law are complied with; in particular, that it is not detrimental to the interest of a child or young person (subject to the Director General's satisfaction).

Section 5 and 6:

These provisions provide for the hours of work for both children and young persons.

Operators must confirm with suppliers that the provisions of this law are complied with.

A child, among others, cannot work for more than 3 consecutive hours without a break of at least 30 minutes, work more than 6 hours a day, etc.

A young person, among others, cannot work for more than 4 consecutive hours in a day without a break of at least 30 minutes, work more than 7 hours in any one day, etc

Section 14(1)

This section provides for the punishment for contravening any of the provisions under this Act. The person will be guilty of an offence and shall be liable on conviction to imprisonment for a term not exceeding 2 years or to a fine not exceeding RM 50, 000.00 or to both.

Subsequent offenders will be liable to imprisonment for a term not exceeding 5 years or to a fine not exceeding RM100,000.00 or to both

Operators must confirm with suppliers that there have been no recent offences by the Malaysian supplier. The penalties are only for Malaysian suppliers, but any contravention of this law would mean that EU operators would be unable to place any products on the EU market.

Section 15:

The provision provides that the Minister may make regulations in prescribing the form of license to be issued, the times by which children and young persons employed shall be entitled to take off from work for meals or rest periods and the procedure to be followed by any Board appointed under the Act.

Hence, the regulations contained in the Third Schedule shall have effect unless and until replaced or amended by the regulations made under this section.

Operators must confirm with suppliers that any provisions from regulations that have been replaced or amended under Section 1 are complied with.

Third Schedule + Paragraph 3:

These regulations expressly provide for the conditions of labour. It states that any child employed shall be produced by their employer for inspection at any time during working hours or at any other reasonable time upon the demand of DG, a Magistrate or any other person authorised on behalf of the the DG from relevant departments.

None.

**Employment Act
1955 (Act 265)**

Section 60K:

This provision provides for the employment of foreign employees. The employer must get prior approval from the DG.

Operators must confirm with suppliers that the provisions of this law are complied with.

Section 60M:

This section states that no employer shall terminate the contract of service of a local employee for the purpose of employing a foreign employee.

Operators must confirm with suppliers that the provisions of this law are complied with.

**Immigration Act
1959/63 (Act 155)**

Section 8(3), 31 and 32:

This specific provision enlist for the categories of prohibited immigrants; any person who is unable to show that he has definite employment awaiting him, whose entry in Malaysia at the time of his entry is unlawful, etc. These groups of persons shall be removed from Malaysia.

Operators must confirm with suppliers that the provisions of this law are complied with.

**Employees'
Minimum Standards
of Housing,
Accommodations
and Amenities Act
1990 (Act 446)**

Section 6(1) and 23:

This provision states that when employees and their dependants are provided with housing at their place of employment, it is the duty of the employer to provide water supply, electricity supply, ensure that the buildings are kept in a good state of repair, and no unauthorised extensions or structural alterations are made to the building.

Operators must confirm with suppliers that the provisions of this law are complied with (for suppliers with employees).

Section 24J and 24K:

These provisions stipulate for the duties and responsibilities of employers with respect to safety and health of their employees; to provide

Operators must confirm with suppliers that the provisions of this law are complied with (for suppliers with employees).

separate accommodation to employees of the opposite gender, taking fire safety measure, among others.

The employees shall also maintain the accommodations provided for the employees.

**Labour Ordinance
1958 (Cap 76)**

Only applicable in
Sarawak

Section 73(2) and 73(3):

This section provides for the types of employment that can be engaged by a child (below the age of 15) and young person (below the age of 18).

A child may be employed in light family work, licensed public entertainment, government-approved training programs, or as an apprentice under a written contract.

A young person may be employed in any work allowed for a child, suitable jobs in various workplaces, industrial undertakings, or on a vessel under a parent or guardian's care.

Section 74:

The Minister may prohibit a child or young person from any permitted employment under section 73, if it is deemed harmful to their interests.

Section 74B and 74C:

These provisions provide for the hours of work for both children and young persons.

A child, among others, cannot work for more than 3 consecutive hours without a break of at least 30 minutes, work more than 6 hours a day, etc.

Operators must confirm with suppliers that the provisions of this law are complied with.

Operators must confirm with suppliers that the provisions of this law are complied with.

Operators must confirm with suppliers that the provisions of this law are complied with.

A young person, among others, cannot work for more than 4 consecutive hours in a day without a break of at least 30 minutes, work more than 7 hours in any one day, etc

**Labour Ordinance
(Cap 67)**

Only applicable in
Sabah

Section 72(2) and 72(3):

This section provides for the types of employment that can be engaged by a child (below the age of 15) and young person (below the age of 18).

A child may be employed in light family work, licensed public entertainment, government-approved training programs, or as an apprentice under a written contract.

A young person may be employed in any work allowed for a child, suitable jobs in various workplaces, industrial undertakings, or on a vessel under a parent or guardian's care.

Operators must confirm with suppliers that the provisions of this law are complied with.

Section 73:

The Minister may prohibit a child or young person from any permitted employment under section 72, if it is deemed harmful to their interests.

Operators must confirm with suppliers that the provisions of this law are complied with.

Section 73B and 73C:

These provisions provide for the hours of work for both children and young persons.

A child, among others, cannot work for more than 3 consecutive hours without a break of at least 30 minutes, work more than 6 hours a day, etc.

A young person, among others, cannot

Operators must confirm with suppliers that the provisions of this law are complied with.

work for more than 4 consecutive hours in a day without a break of at least 30 minutes, work more than 7 hours in any one day, etc.

5. HUMAN RIGHTS

Legislation	Section/Provision (Important)	Key Points to Check for DD (Operator Focus)
Part II Federal Constitution	Article 5 Right to life and personal liberty	None.
Applicable throughout Malaysia	Article 6 No slavery	
	Article 7 No retrospective criminal laws and no double jeopardy	
	Article 8 Equality	
	Article 9 Freedom of movement	
	Article 10 Freedom of speech and expression, assembly, and association	
	Article 11 Freedom of religion	
	Article 12 Right to education	
	Article 13 Right to property	
Human Rights Commission Act 1999	Section 2 'Human rights' is defined as the fundamental liberties provided in Part II of the Federal Constitution, and where it does not conflict with the Federal Constitution, the rights enshrined under the Universal	None.
Applicable throughout Malaysia		

Declaration of Human Rights.

Sections 3, 4, and 12

Sets up the Human Rights Commission of Malaysia (SUHAKAM) to inquire into complaints regarding infringements of human rights

6. ANTI - CORRUPTION

Legislation	Section/Provision (Important)	Key Points to Check for DD (Operator Focus)
Penal Code Applicable throughout Malaysia	Section 161-164 These provisions deal with corruption by public officers. The penalties are imprisonment up to three years, fine or both.	Operators to ensure that suppliers have standard operating procedures in place to deter, detect, minimise and report any wrongdoing immediately, to minimise potential criminal liability.
Anti-Money Laundering, Anti-Terrorism Financing and Proceeds of Unlawful Activities Act 2001 (AMLA) Applicable throughout Malaysia	The Second Schedule of AMLA contains a list of 398 'serious offences', which are captured from 48 pieces of legislation. Where a serious offence is committed, and in the event that the relevant law enforcement agency overseeing investigations into that offence has reason to suspect a money laundering offence under the provisions of AMLA has been committed, the law enforcement agency can open a parallel money laundering investigation pursuant to the investigation powers provided under Section 31 of AMLA.	Operators to ensure that suppliers have standard operating procedures in place to deter, detect, minimise and report any wrongdoing immediately, to minimise potential criminal liability.

AMLA also gives wide powers to investigating officers, including the power to enter, inspect and search any property, premise or person without a warrant. AMLA also allows for the freezing, seizing and forfeiture of the subject matter or evidence of the crime, instrumentalities of the offence, and the proceeds of crime. There are also reporting obligations of 'reporting institutions' (for example financial institutions) to report transactions that exceed specified amounts or that are suspicious in nature. This helps authorities detect and investigate potential money laundering activities.

Malaysian Anti-Corruption Commission Act 2009 (MACC Act)

Applicable throughout Malaysia

There are four main offences stipulated: (i) soliciting or receiving a gratification or bribe; (ii) offering or giving a gratification or bribe; (iii) intending to deceive or false claims; and using an office or position for gratification or bribe, which is a form of abuse of power or position. MACC officers have wide investigation and enforcement powers, including the power to search, seize and forfeit property, inspect and obtain documents from any bank, intercept communications, and order the surrender of travel documents. The penalties for corruption offences are a maximum of 20 years' imprisonment, and fines of not less than five times the sum or value of the gratification, or RM10,000 whichever is the higher.

Operators to ensure that suppliers have standard operating procedures in place to deter, detect, minimise and report any wrongdoing immediately, to minimise potential criminal liability.

7. FORESTRY RELATED REGULATIONS

A. Peninsular Malaysia

(i) Timber Harvesting

Legislation	Section/Provision (Important)	Key Points to Check for DD (Operator Focus)
National Forestry Act 1984 (Act 313) (NFA)	Section 15 and 19 It prohibits the harvesting of timber from permanent reserved forests or State land without a valid licence issued by the State Authority.	Operators must verify that the supplier possesses a valid timber license issued by the State Forestry Department for harvesting on permanent reserved forests or state land.
	Section 81 It prohibits, unless authorized under the Act, any person from felling, cutting, ringing, marking, lopping, tapping, injuring, removing, or causing damage to any tree or timber in a permanent reserved forest, thereby restricting unauthorized logging and timber harvesting activities.	Operators must ensure that suppliers do not fell, cut, damage, or remove any trees or timber from permanent reserved forests unless expressly authorised under the Act.
	Section 20 Before a license is issued, the applicant must prepare a forest management plan, a forest harvesting plan, and a reforestation plan, unless exempted by the State Authority.	Operators must verify that the supplier has a forest management plan or harvesting plan, and reforestation plan for harvesting on permanent reserved forests or state land before obtaining the licence.
	Section 24 A licensee required under section 20 to prepare a forest management or harvesting plan and a reforestation plan must implement them to the	Operators must verify that the supplier has implemented the forest management or harvesting plan and the reforestation plan as required under section 20.

Director's satisfaction from a date appointed by the Director, failing which, the Director may revoke the licence and require the licensee to pay the State Authority an amount equivalent to the State's estimated cost of implementing the plan.

Note: This Act shall not come into force in a State unless it has been adopted by a law made by the Legislature of the State pursuant to Clause (3) of Article 76 of the Federal Constitution.

This Act has been adopted by:

- (a) Johore National Forestry (States of Malaysia) (Adoption) Enactment (J. En. 12/1985);
- (b) Kedah National Forestry (States of Malaysia) (Adoption) Enactment 1985 (K. En. 2/1986);
- (c) Kelantan National Forestry (States of Malaysia) (Adoption) Enactment (Kn. En. 11/1985);
- (d) Malacca National Forestry (States of Malaysia) (Adoption) Enactment (M. En. 4/1985);
- (e) Negeri Sembilan National Forestry (States of Malaysia) (Adoption) Enactment (N.S. En.5/1986);
- (f) Pahang National Forestry (States of Malaysia) (Adoption) Enactment (Phg. En. 6/1986);
- (g) Penang National Forestry (States of Malaysia) (Adoption) Enactment (Pg. En.2/1986);
- (h) Perak National Forestry (States of Malaysia) (Adoption) Enactment (Pk. En. 3/1985);
- (i) Perlis National Forestry (States of Malaysia) (Adoption) Enactment (Ps. En. 1/1988);
- (j) Selangor National Forestry (States of Malaysia) (Adoption) Enactment (Sel. En. 5/1985);
- (k) Terengganu National Forestry (States of Malaysia) (Adoption) Enactment (Tr. En. 1/1986).

Forest Rules of the respective States

(Peninsular Malaysia comprises 12 states: Johor, Kedah, Kelantan, Malacca, Negeri Sembilan, Pahang, Perak, Perlis, Penang, Selangor, Terengganu and the Federal Territories (Kuala Lumpur, Labuan, Putrajaya))

Each state in Peninsular Malaysia has its own rules for timber harvesting, requiring a removal pass for forest produce cut or collected under licence.

Operators must verify that the supplier has a valid removal pass.

(ii) **Timber processing**

Legislation	Section/Provision (Important)	Key Points to Check for DD (Operator Focus)
Wood-Based Industries (State Legislatures Competency) Act 1984 (Act 314)	This Act grants the respective States the authority to establish and regulate wood-based industries, which specifically includes various forms of timber processing.	None.
Wood Based Industries Enactment of the respective States (Peninsular Malaysia comprises 12 states: Johor, Kedah, Kelantan, Malacca, Negeri Sembilan, Pahang, Perak, Perlis, Penang, Selangor, Terengganu and the Federal Territories (Kuala Lumpur, Labuan, Putrajaya))	Section 3 and 4 The wood-based industries enactment governs the establishment and operation of timber-processing industries by requiring a valid licence issued by the State Authority detailing specific requirements for licence applications.	Even though the operator is not directly involved in timber processing, as processing is part of the supply chain, the operator must ensure that timber products, including timber furniture, come from licensed, legally compliant sources. The operator must verify that the supplier has obtained the relevant licenses, to ensure compliance with local regulations.
Industrial Co-ordination Act 1975 (Act 156)	Section 3 and 4 Engaging in manufacturing activities without a specific license is an offence under the Act. Applicants must submit prescribed forms for each manufacturing site, with separate licenses required for different locations.	Even if the operator is not directly involved in manufacturing, they must verify that manufacturers or suppliers within the supply chain hold valid licenses for each manufacturing site, confirming compliance with local regulation.

Side note: Alternatively, operators may use MyTLAS (Peninsular Malaysia) to verify timber product licences, as it covers all relevant legality requirements.

(iii) Export of timber and timber products

Legislation	Section/Provision (Important)	Key Points to Check for DD (Operator Focus)
Malaysian Timber Industry Board (Incorporation) Act 1973 (Act 105)	Section 13 No person shall carry out export activities without registration under the Act, and failure to comply may result in a fine and/or imprisonment.	Operators must verify that the Malaysian exporter is registered under the Act to legally conduct export activities.
Customs (Prohibition of Exports) Order 2023 (Read together with Section 10 of Customs Act 1967 (Act 156))	Paragraph 3 + Second Schedule Item 5 Exportation of timber products listed in the Second Schedule is prohibited unless with an export license from the Director General or a proper officer of customs appointed by the Director General, such as the Malaysian Timber Industry Board for exports from Peninsular Malaysia and Labuan. The relevant timber products include, but are not limited to: - 1. Fuel wood, wood in chips or particles; sawdust and wood waste and scrap 2. Wood charcoal 3. Logs (including baulks and roughly squared)	Operators must verify that the Malaysian exporter has a valid export license issued by MTIB for all listed timber products, as exportation of timber/timber products is part of the supply chain, ensuring compliance with the local regulation and eligibility for export to the EU market. Side note: In some cases, businesses may require both an export licence and a MyTLAS licence, depending on the specific circumstances.

4. Hoopwood
5. Wood wool
6. Railways or tramway sleepers
7. Sawn timber
8. Veneer sheets
9. Wood (continuously shaped, including strips and friezes for parquet flooring)
10. Particleboard
11. Fibreboard
12. Plywood, veneered panel, and similar laminated wood
13. Densified wood
14. Wooden frames
15. Cask, barrels, vats, tub, and other coopers' products of wood, including staves
16. Tools, tool bodies, tool handles, broom or brush bodies and handles of wood; boot or shoe last and trees, of wood
17. Builders joinery and carpentry of wood
18. Tableware and kitchenware of wood
19. Wooden articles of furniture not falling in chapter 94
20. Other articles of wood
21. Bamboo
22. Rattan
23. Pre-fabricated buildings of wood
24. Packaging

Paragraph 5 + Third Schedule Part II Item 4

Timber products from Peninsular Malaysia, including fuel wood, hoopwood, sawn timber, veneer panel, plywood, and other listed items, require an export permit under

Operators must verify that the Malaysian exporter provides a valid export permit under the International Trade in Endangered Species Act 2008 issued by MTIB for all applicable timber products, as exportation of timber/timber

	the International Trade in Endangered Species Act 2008, issued by the Malaysian Timber Industry Board. These products are prohibited for export without the appropriate permit.	products is part of the supply chain, confirming compliance with local regulations and eligibility for export to the EU market.
International Trade in Endangered Species Act 2008 <i>(Read together with Customs (Prohibition of Exports) Order 2023)</i>	Section 10 + Third Schedule It states that any person, whether an individual or a corporate body, who imports or exports scheduled species, including timber species listed under the Third Schedule of the Act, without a permit, commits an offence	Operators must verify with the Malaysian exporter that all imports or exports of scheduled timber species listed under the Third Schedule of this Act have the required permit, as exportation of timber/timber products is part of the supply chain, to mitigate the risk of illegal timber exportation. Side note: Operator also needs to verify the availability of CITES permit issued by the CITES Management Authority.

B. Sabah
(i) Timber Harvesting

Legislation	Section/Provision (Important)	Key Points to Check for DD (Operator Focus)
Forest Enactment 1968	Section 20 Cutting, collecting, converting, felling, or removing timber in a Forest Reserve is prohibited unless expressly authorised by this Enactment.	Operators must ensure that the supplier is expressly authorised to cut, collect, convert, fell, or remove timber from a Forest Reserve.

Section 23

Any person who removes timber from alienated land beyond its boundaries, unless expressly authorised, commits an offence and is guilty of violating this Enactment.

In addition, any person who cuts, collects, converts, fells, or removes timber from State land without express authorization commits an offence and is guilty of violating this enactment.

Operators must ensure that the supplier is expressly authorised to cut, collect, or remove timber from both alienated and State land.

Section 24

Licences for doing any acts prohibited by section 20 and 23 (i.e. harvesting timber) may be issued by the Chief Conservator or authorised personnel, subject to conditions and fees, with Cabinet approval required for acts in Forest Reserves or on State land

Operators must ensure the supplier obtains the necessary licenses for any activities mentioned on Forest Reserves and State land.

Section 28A and 28B

Unless otherwise exempted by the minister, before issuing a license for areas over 1,000 hectares in Forest Reserves or State land, the Chief Conservator requires a forest management, harvesting, and reforestation plan. License holders must implement these plans to the Chief Conservator's satisfaction. Failure to do so may result in license revocation, termination of the agreement, and a penalty equivalent to the cost of executing the plans.

Operators must verify that the supplier has a forest management, harvesting, and reforestation plan approved by the Chief Conservator for areas over 1,000 hectares in Forest Reserves or State land before a license is issued.

**Forest Rules
1969**

Rule 12

All timber cut, sawn, converted, collected or removed (harvested) under a licence is subject to royalty at rates specified in Part A Schedule II. With Minister of Finance approval, the Director may also impose additional fees or charges in lieu of royalty for harvesting timber

Operators must ensure that the supplier pays royalty on licensed timber as per Schedule II rates and complies with any additional charges approved by the Minister of Finance.

(ii) Timber Processing

Legislation	Section/Provision (Important)	Key Points to Check for DD (Operator Focus)
Forest Rules 1969	Rule 19 No one may erect or operate a sawmill (which includes machines for processing timber, such as veneer and plywood mills) without a licence from the Director of Forestry, who has discretion to issue it. The licence fee is outlined in Schedule II. The Director of Forestry may revoke the licence if its conditions are violated. Government-owned sawmills are exempt from this rule	Although the operator is not directly involved in timber processing, as processing is part of the supply chain, they must verify that suppliers in sawmills (including veneer and plywood mills) have obtained a license from the Director of Forestry to operate, ensuring that timber products originate from legally compliant sources.
Industrial Co-ordination Act 1975 (Act 156)	Section 3 and 4 Engaging in manufacturing activities without a specific license is an offence under the Act. Applicants must submit prescribed forms for each manufacturing site, with separate licenses required for different locations.	Even if the operator is not directly involved in manufacturing, they must verify that manufacturers or suppliers within the supply chain hold valid licenses for each manufacturing site, confirming compliance with local regulations.

(iii) Export of timber and timber products

Legislation	Section/Provision (Important)	Key Points to Check for DD (Operator Focus)
Customs (Prohibition of Exports) Order 2023 <i>(Read together with Section 10 of Customs Act 1967 (Act 156))</i>	Paragraph 3 + Second Schedule Item 5 Exporting timber products listed in the Second Schedule requires an export license from the Director General or a proper officer of customs appointed by the Director General, such as the Sabah Forestry Department (SFD) for exports from Peninsular Malaysia and Labuan. The relevant timber products include, but are not limited to: - 1. Fuel wood, wood in chips or particles; sawdust and wood waste and scrap 2. Wood charcoal 3. Logs (including baulks and roughly squared) 4. Hoopwood 5. Wood wool 6. Railways or tramway sleepers 7. Sawn timber 8. Veneer sheets 9. Wood (continuously shaped, including strips and friezes for parquet flooring) 10. Particleboard 11. Fibreboard 12. Plywood, veneered panel, and similar laminated wood 13. Densified wood 14. Wooden frames 15. Cask, barrels, vats, tub, and other coopers' products of wood, including staves 16. Tools, tool bodies, tool handles, broom or brush bodies and handles of	Operators must verify that the Malaysian exporter has a valid export license issued by SFD for all listed timber products, as exportation of timber/timber products is part of the supply chain, ensuring compliance with the local regulation and eligibility for export to the EU market.

- wood; boot or shoe last and trees, of wood
17. Builders joinery and carpentry of wood
 18. Tableware and kitchenware of wood
 19. Wooden articles of furniture not falling in chapter 94
 20. Other articles of wood
 21. Bamboo
 22. Rattan
 23. Pre-fabricated buildings of wood
 24. Packaging

Paragraph 5 + Third Schedule Part II Item 4

Timber products including fuel wood, hoopwood, sawn timber, veneer sheets, plywood, and other listed items, require an export permit under the International Trade in Endangered Species Act 2008, issued by the Sabah Forestry Department (SFD). These products are prohibited for export without the appropriate permit.

Operators must verify that the Malaysian exporter provides a valid export permit under the International Trade in Endangered Species Act 2008 issued by Sabah Forestry Department (SFD) for all applicable timber products, as exportation of timber/timber products is part of the supply chain, confirming compliance with local regulations and eligibility for export to the EU market.

International Trade in Endangered Species Act 2008

(Read together with Customs (Prohibition of Exports) Order 2023)

Section 10 + Third Schedule

It states that any person, whether an individual or a corporate body, who imports or exports scheduled species, including timber species listed under the Third Schedule of the Act, without a permit, commits an offence

Operators must verify with the Malaysian exporter that all imports or exports of scheduled timber species listed under the Third Schedule have the required permit, as exportation of timber/timber products is part of the supply chain, to mitigate the risk of illegal timber exportation.

Side note: Operator must verify with the supplier of the availability of CITES permits issued by the CITES Management Authority.

Forest (Timber) Enactment 2015	Section 5 No individual may engage in timber industry activities as an exporter without proper registration. Violating this regulation is an offence punishable by a fine or/and imprisonment.	Operators must verify that the Malaysian exporter is registered under the Act to legally conduct export activities.
Forest (Timber) (Registration) Regulations 2017 <i>(Read together with Forest (Timber) Enactment 2015)</i>	Regulation 2 No individual may operate as an exporter without being registered according to the Enactment, and applications for registration must be submitted to the Chief Conservator following the specified procedures.	Operators must confirm with the exporter that the required registration application is submitted to the Chief Conservator in accordance with the specified procedures, ensuring compliance with local regulations.

C. Sarawak

(i) Timber Harvesting

Legislation	Section/Provision (Important)	Key Points to Check for DD (Operator Focus)
Forests Ordinance 2015 (Cap. 71)	Section 26 and 27 No person is allowed to engage in certain activities within a forest reserve or protected forest, including felling, cutting, marking, lopping, or injuring any tree or timber, or collecting, removing, or searching for forest produce, including timber. Additionally, causing damage through negligence while felling trees or cutting and dragging timber is prohibited. However, exceptions to these prohibitions include (i) exercising any subsisting rights or privileges, (ii) rights acquired by succession, grant, or contract as per section 23, and (iii) activities done with written permission from the Director.	Operators must verify with suppliers by obtaining proof of applicable exceptions to ensure no unauthorised activities, such as tree felling or timber collection, take place within these protected areas.

Section 40

While Sections 26 and 27 (above) prohibit unauthorised activities within forest reserves or protected forests, this provision confers specific powers to the Director of Forestry to control and regulate the taking of or dealing in forest produce. Under this provision, the Director of Forestry is empowered to:

- (1) Issue licences (subsection 1(a));
- (2) Call for tenders for rights to harvest forest produce (subsection 1(b));
- (3) Collect fees and payments, including for ecosystem services (subsection 1(c)); and
- (4) Authorise any other works or issue necessary orders for forest produce extraction or forest management (subsection 1(d)).

Therefore, any activity conducted under a valid licence issued by the Director under Section 40 constitutes an exception to the prohibitions in Sections 26 and 27. Such licenced activities are legally permissible, provided they adhere to the terms set out by the Director.

Operators must verify that the supplier holds a valid license issued by the Director of Forestry under Section 40 and ensure all activities strictly comply with its authorised terms.

Forest Rules 1962

Rule 3, 4 and 7

It restricts the felling of trees under a minimum girth to preserve younger or smaller trees and limits tree felling to dangerous, nuisance, or farming-related purposes with required written permission from designated officers. Proper authorisation is also required for casual workers to fell timber, specifying the work area, period, and allowable products.

Operators must verify that the supplier has obtained proper written authorisation for tree felling, complies with minimum diameter cutting limits and volume control, and ensures casual workers are approved with specified work details.

National Parks and Nature Reserves Ordinance 1998 (Cap.27)

Section 26

It prohibits taking, destroying, cutting, damaging, or removing plants (including trees, shrubs, and other woody plants that are sources of timber) from national parks or nature reserves without permission, including plants of geological, historical, or scientific interest.

Operators need to verify with the supplier that no logging activities are carried out in national parks and nature reserves.

(ii) Timber Processing

Legislation	Section/Provision (Important)	Key Points to Check for DD (Operator Focus)
Forests Ordinance 2015 (Cap 71)	Section 62 It mandates that no sawmill can be built or operated without a licence from the Director.	Although the operator is not directly involved in timber processing, as processing is part of the supply chain, they must verify that suppliers in sawmills have obtained a license from the Director to operate, ensuring that timber products originate from legally compliant sources.
Industrial Co-ordination Act 1975 (Act 156)	Section 3 and 4 Engaging in manufacturing activities without a specific license is an offence under the Act. Applicants must submit prescribed forms for each manufacturing site, with separate licences required for different locations.	Even if the operator is not directly involved in manufacturing, they must verify that manufacturers or suppliers within the supply chain hold valid licenses for each manufacturing site, confirming compliance with local regulation. Side note: This only applies for investments with paid-up capital above RM2.5 million and/or manpower above 75 people.

Sarawak Timber Industry Development Corporation Ordinance, 1973

(Read together with The Sarawak Timber Industry (Licensing) Regulations 2025

Section 5A, 5C and 5D

They require individuals to obtain a timber industry license or a temporary permit from the General Manager to establish, build, or operate a timber facility; failure to do so is an offence punishable by fines and imprisonment.

Investments below this criteria must obtain a manufacturing permit issued by the Ministry of International Trade and Industry.

Although operators are not directly involved in the timber industry, they must verify with the entity establishing the timber facility that it holds the necessary licenses or permits to ensure legal compliance and avoid potential legal risks, as processing is part of the supply chain.

(iii) Export of timber and timber products

Legislation	Section/Provision (Important)	Key Points to Check for DD (Operator Focus)
Customs (Prohibition of Exports) Order 2023	Paragraph 3 + Second Schedule Item 5 Exporting timber products listed in the Second Schedule requires an export license from the Director General or a proper officer of customs appointed by the Director General, such as the Sarawak Timber Industry Development Corporation (STIDC) for exports from Sarawak. The relevant timber products include, but are not limited to: -	Operators must verify that the Malaysian exporter in Sarawak obtained a valid export license issued by Sarawak Timber Industry Development Corporation (STIDC) for all listed timber products, as exportation of timber/timber products is part of the supply chain, ensuring compliance with the local regulation and eligibility for export to the EU market. Side note: Operator must verify with suppliers on the

1. Fuel wood, wood in chips or particles; sawdust and wood waste and scrap
2. Wood charcoal
3. Logs (including baulks and roughly squared)
4. Hoopwood
5. Wood wool
6. Railways or tramway sleepers
7. Sawn timber
8. Veneer sheets
9. Wood (continuously shaped, including strips and friezes for parquet flooring)
10. Particleboard
11. Fibreboard
12. Plywood, veneered panel, and similar laminated wood
13. Densified wood
14. Wooden frames
15. Cask, barrels, vats, tub, and other coopers' products of wood, including staves
16. Tools, tool bodies, tool handles, broom or brush bodies and handles of wood; boot or shoe last and trees, of wood
17. Builders joinery and carpentry of wood
18. Tableware and kitchenware of wood
19. Wooden articles of furniture not falling in chapter 94
20. Other articles of wood
21. Bamboo
22. Rattan
23. Pre-fabricated buildings of wood
24. Packaging

availability of CITES permit issued by the Management Authority.

Paragraph 5 + Third Schedule Part II Item 4

For timber products obtained from endangered species listed under CITES, the CITES export permit issued

Operators must verify that the exporter from Sarawak provides a valid export permit under the International Trade in Endangered Species Act 2008 issued by the Sarawak

by Sarawak Forestry Corporation (SFC) is a prerequisite for the issuance of export licence by the Sarawak Timber Industry Development Corporation (STIDC). These products are prohibited for export without the appropriate permit.

Timber Industry Development Corporation (STIDC) supported with CITES Export Permit issued by the Sarawak Forestry Corporation (SFC) for all applicable timber products obtained from endangered species listed under CITES.

Side note: The Management Authority for CITES in Sarawak is the Sarawak Forestry Corporation.

**Forests
Ordinance 2015
(Cap 71)**

Section 63, 64 and 93

Timber (logs) cannot be exported from Sarawak without a Certificate of Inspection and an Export Clearance Certificate, and exporting timber beyond the allowed quantity stated in either of these certificates is an offence punishable by law.

Operators must verify with the Malaysian exporter that all timber (logs) exported from Sarawak is accompanied by a valid Certificate of Inspection and an Export Clearance Certificate, and ensure that the volume exported complies with the timber (logs) export quota as stated in the certificates issued by the Forest Department Sarawak (FDS).

8. RUBBER RELATED REGULATIONS

A. Peninsular Malaysia

Legislation	Section/Provision (Important)	Key Points to Check for DD (Operator Focus)
Malaysian Rubber Board (Incorporation) Act 1996 [Act 551]	Section 3: Establishes the Malaysian Rubber Board (MRB) which oversees the rubber industry in Peninsular Malaysia.	None.

Malaysian Rubber Board (Licensing and Permit) Regulations 2014 [P.U.(A) 119/2014] and Malaysian Rubber Board (Licensing and Permit) Amendment Regulations 2023 [P.U.(A) 155/2023] (together, 'MRB Regulations')

Regulation 3:

This section provides that no person shall buy, store, sell, process or pack, or export rubber; buy and store rubber for the manufacture of rubber products; export rubber gloves; or buy, store or sell, or germinate, grow, plant or transplant rubber planting materials; or buy rubber or sell rubber planting materials on mobile for commercial purposes unless the person holds a license. Doing so without a licence is an offence punishable with a fine and imprisonment.

Operators must ensure that suppliers have the necessary licences and permits from the MRB to handle rubber products.

Regulations 4 and 5:

None.

This provision is related to the application for the license. The Board has the discretion to either issue or refuse to issue a license.

Regulation 6(1), (2) and (3):

The provision states that the Board can impose any conditions upon the issuance of the license and the licensee must comply with the conditions or they will be liable to a fine or imprisonment.

Operators must understand the imposed conditions and verify and ensure that suppliers comply with all conditions of licenses.

For example, the MRB licence and permit holders shall comply with the standard operating procedures (SOP) of the Malaysian Sustainable Natural Rubber (MSNR).

Regulation 7(1):

This provision states the activities prohibited by the license.

Operators to ensure suppliers do not carry out prohibited activities.

Regulation 22(1):

This provision states that no smallholder or rubber plantation operator, sell rubber unless he or it holds a Rubber Transaction Authority Permit.

Further, no person shall buy, store and sell rejected rubber gloves and scrap rubber gloves unless the person holds a PAT-G Permit, or export rubber consignments unless the person holds an Export Permit.

Operators must verify with the supplier on the two types of permits issued:

1. Rubber Transaction Authority Permit (PAT-G); and
2. Export Permit.

Regulation 23 (read together with Regulations 27(1) and 28(1)):

None.

This provision highlights the application process for the permit (similar to the license application).

Regulation 25 and 26:

None.

The Board shall issue for the permit in the form of card for the Rubber Transaction Authority Permit and the validity for the permit is not exceeding 3 years.

Regulation 28(1):

None.

A person shall not be eligible to apply for an Export Permit unless the person holds a license to export rubber issued under sub-regulation 5(1).

Regulation 29(1):

The Board may impose any conditions upon issuance of a permit under regulation 24 and may, from time to time, amend the conditions imposed.

MRB permit holders (PAT-G) shall comply with the standard operating procedures (SOP) of the Sustainable Malaysian Natural Rubber (MSNR).

	Regulation 40(1): This provision states that no person shall convey, transport or receive rubber or rubber planting materials except with a written authority issued under regulation 41.	Operators must ensure that suppliers have the necessary written authority.
	Regulation 44(1) and 49: The licensee must submit to the Board a copy of certificate of origin and every package for the purpose of export must have the markings as stipulated under the regulation.	Operators must ensure suppliers comply with this condition.
Industrial Co-ordination Act 1975 (Act 156)	Section 3 and 4 Engaging in manufacturing activities without a specific license is an offence under the Act. Applicants must submit prescribed forms for each manufacturing site, with separate licenses required for different locations.	Operators must ensure that suppliers have the necessary manufacturing licences.
Rubber Industry Smallholders Development Authority Act 1972 (Act 85)	Section 3A (c) and (e) : These provisions state that the Authority's functions include to plan, co-ordinate, implement and monitor all research innovations in the smallholder sector as well as to provide technical, advisory, consultancy and related services to the smallholder sector, among others.	None.
Environmental Quality (Prescribed Premises) (Raw Natural Rubber) Regulations 1978	Regulations 12, 13, 14 and 15: These provisions provide for the acceptable conditions for the discharge of products from prescribed premises occupied or used for the	Operators must ensure that the suppliers comply with these stipulated conditions as listed in the Regulations.

	production of concentrated latex (and other products) or its associated products into a watercourse and land.	
Customs (Prohibition of Exports) Order 2023	Third Schedule (Part 1) + Items 31(3) (u), 46, 47, 48: MRB is responsible for the issuance of export licenses/permits and this ensures proper regulation of the rubber products.	Operators must ensure that suppliers have the necessary licences / permits.
The Malaysian Sustainable Natural Rubber SOP ('MSNR')	This is a SOP issued by MRB. It operates on 5 main principles: 1.No deforestation 2.Rubber cultivation regulated by National Land Code 3.Environmental sustainability 4.Social compliance 5.Traceability in supply chain	MRB licence and permit holders shall comply with the standard operating procedures (SOP) of the Sustainable Malaysian Natural Rubber (MSNR).

B. Sabah

Legislation	Section/Provision (Important)	Key Points to Check for DD (Operator Focus)
Rubber Industry Board Enactment 1981	Section 19C: This provision provides that no person shall buy, sell, store, germinate, or export any rubber, raw rubber, rubber products, etc unless they hold a license. Section 19D(1): This section provides for the prohibition of smallholders from doing certain activities unless they hold a permit. This section also prohibits the	Operators must ensure that suppliers have the necessary licence from the Rubber Industry Board. Operators must ensure that suppliers have the necessary permits.

importation of rubber or raw rubber consignments unless they hold an import permit.

Rubber Industry Board (Licensing and Permits) Regulations 2015

Regulation 3:

None.

This provision provides for the application process for license.

Regulation 12:

Operators must ensure that suppliers have the necessary licences.

This provision provides for the distinct mobile license. Only person(s) with this license shall purchase or sell rubber or raw rubber, within the specified place/location and quantity.

Regulation 14 and 15:

None.

This provision provides for the application for permits. Note that the application and issuance process for permit is similar to that of the licenses.

Regulation 18:

Operators must ensure that suppliers comply with this provision to get the products physically checked.

The provision states that any rubber or raw rubber brought in from outside the state of Sabah must be physically checked and verified by the Enforcement officer.

Regulation 19(1) and (3):

Operators must ensure that suppliers have the necessary mobile license or written authority.

These provisions state that no person shall convey, transport or receive rubber unless he holds a mobile license or has the written authority under regulation 20. In addition, no person can transport, convey or receive rubber planting materials unless he has the written authority.

Regulation 21(2):

None.

The owners of rubber smallholdings and rubber estates registered with the Board shall be exempted from the requirement of license to sell rubber which are produced from the said smallholdings or estate.

Industrial Co-ordination Act 1975 (Act 156)

Section 3 and 4

Engaging in manufacturing activities without a specific license is an offense under the Act. Applicants must submit prescribed forms for each manufacturing site, with separate licenses required for different locations.

Operators must ensure that suppliers have the necessary licences for manufacturing activities.

Rubber Industry Board (Licensing and Permits) Regulations 2015

Regulation 27:

This provision provides that no person shall possess any rubber, raw rubber or rubber planting materials unless he is the owner of a smallholding or has acquired the license as provided by the Panel.

Operators must ensure that suppliers either fulfill the requirements of a smallholding or if not, have the necessary licences.

Environmental Quality (Prescribed Premises) (Raw Natural Rubber) Regulations 1978

Regulations 12,13,14 and 15:

These provisions provide for the acceptable conditions for the discharge of products from prescribed premises occupied or used for the production of concentrated latex (and other products) or its associated products into a watercourse and land

Operators must ensure that the suppliers comply with these stipulated conditions as listed in the Regulations.

**Customs
(Prohibition of
Exports) Order
2023**

**Third Schedule (Part 1) + Items 31(3)
(u), 46, 47, 48:**

The Sabah Rubber Industry Board (LIGS) is responsible for the issuance of Export licenses/permits to ensure proper regulation of rubber products.

Operators must ensure that suppliers have the necessary export licences / permits.

C. Sarawak

Legislation	Section/Provision (Important)	Key Points to Check for DD (Operator Focus)
Sarawak Rubber Industry Board Ordinance 2022 (Chapter 80)	Section 27: This section provides for a distinct presumption: (1) for export, the rubber products shall be presumed to be taken out from the State if these products have been loaded on to a conveyance; and (2) if the products has been found in the State, then it shall be presumed to be produced in the State (unless the contrary is proved).	None. Side note: The harvesting and trade of rubberwood in Sarawak is in accordance with the Sarawak Timber Legality Verification System (STLVS).
	Section 53: The previous Rubber Ordinance 1958 is repealed. However, all rules, orders, directions, appointments, proclamations, licences, rights, privileges or other acts or things made or done under or in accordance with the repealed Ordinance, shall continue in force until amended, revoked or replaced pursuant to this Ordinance.	Where applicable, operators must ensure that suppliers have the necessary licences under the Rubber Ordinance 1958.

Industrial Co-ordination Act 1975 (Act 156)

Section 3 and 4

Engaging in manufacturing activities without a specific license is an offence under the Act. Applicants must submit prescribed forms for each manufacturing site, with separate licenses required for different locations.

Operators must ensure that suppliers have the necessary licences for manufacturing activities.

This is only applicable for investments with paid-up capital above RM2.5 million and/or manpower above 75 people.

Investments below this criteria must obtain a manufacturing permit issued by the Ministry of International Trade, Industry and Investment of Sarawak ('MINTRED').

Environmental Quality (Prescribed Premises) (Raw Natural Rubber) Regulations 1978

Regulations 12, 13, 14 and 15:

These provisions have provided for the acceptable conditions for the discharge of products from prescribed premises occupied or used for the production of concentrated latex (and other products) or its associated products into a watercourse and land.

Operators must ensure that the suppliers comply with these stipulated conditions as listed in the Regulations.

Natural Resources and Environment Ordinance (Chapter 84)

Section 5(b), (c) and (f)

These provisions enlist the Board's functions which include to determine the mode and manner whereby natural resources are to be exploited, to determine and take necessary measures as well as provide rules, guidelines and directions for the protection and enhancement of environment such as land use, extraction and removal of forest produce and rock materials, among others.

Operators must ensure suppliers comply with these provisions.

**Customs
(Prohibition of
Exports) Order
2023**

**Third Schedule (Part 1) + Items 31(3)
(u), 46, 47, 48:**

Sarawak Rubber Industry Board (SARIB) is responsible for the issuance of Export licenses/permits to ensure proper regulation of the rubber products.

Operators must ensure that suppliers have the necessary licences / permits.

LEGAL GAPS AND CHALLENGES

From the legislation and regulatory framework discussed above, it would appear that there are no legal gaps in due diligence mechanisms in the timber and rubber industries in Malaysia.

Further, various initiatives have been undertaken by the relevant Malaysian ministries and agencies vis-à-vis the timber and rubber industries to ensure compliance, industry readiness, and sustainability in the Malaysian timber and rubber sectors, as follows:

(i) Timber industry

The Malaysian Ministry and timber industry agencies, including the Malaysian Timber Industry Board (MTIB), the Malaysian Timber Council (MTC), and the Malaysian Timber Certification Council (MTCC), have conducted regular stakeholder meetings through the JKM3PA committee,¹ participated in international task forces and discussions with the EU, engaged with state forestry departments, and have been involved in certification programmes like the Programme for the Endorsement of Forest Certification (PEFC). The industry has also taken steps such as submitting official positions to the EU and forming coalitions on sustainable timber with other countries. These efforts aim to ensure compliance and sustainability in the timber sector.

(ii) Rubber industry

The Malaysian Rubber Council (MRC) and the Malaysian Rubber Board (MRB) have organized various initiatives to address the EUDR and promote the Malaysian Sustainable Natural Rubber (MSNR) SOP. As of 5 May 2025, the MSNR Trace System has been made mandatory for licence holders in the processing factory and rubber trade categories. MRC has conducted roundtable discussions, meetings with the European Commission, and industry engagements to navigate regulatory challenges. Meanwhile, MRB has focused on disseminating MSNR awareness through exhibitions, media outreach, briefings, conferences, and international collaborations. Key milestones include launching Malaysia's first MSNR-compliant rubber export and conducting nationwide awareness programs.

However, there are some challenges that operators and traders may face in Malaysia. Addressing these challenges presents an opportunity to enhance the efficiency and consistency of compliance verification with national laws, thereby supporting operators in meeting the EUDR's due diligence requirements. Strengthening these processes can also help reduce potential legal and reputational risks linked to sourcing timber and rubber from Malaysia. The key challenges are discussed below.

¹ Mesyuarat Jawatankuasa Kecil Mitigasi Pematuhan Perundangan Perdagangan Antarabangsa (JKM3PA) Industri Perakayuan is a meeting coordinated by the Ministry of Plantation and Commodities (KPK) which serves as a platform for cooperation and active involvement of ministry/agencies and stakeholders to ensure that the sustainability of the timber industry is in line with the Malaysian government's policies in facing new and existing international policies and regulations pertaining to the trade of timber products. JKM3PA is chaired by the Senior Undersecretary of the Timber, Tobacco and Kenaf Industries Development Division (KTK) and is represented by members from the Ministry of Natural Resources And Environmental Sustainability (NRES), Strategic Planning and International Department, KPK, Forestry Department Peninsular Malaysia (FDPM), Sabah Forestry Department (SFD), Forest Department Sarawak (FDS), Sarawak Timber Industry Development Corporation (STIDC), Malaysian Timber Industry Board (MTIB), MTC and Malaysian Timber Certification Council (MTCC). Source: https://mtc.com.my/images/publication/273/MTC_2023_Annual_Report_Final.pdf

1. DEFINITIONS

Definition	EUDR	Malaysia
Deforestation	Conversion of forest to agricultural use, whether human-induced or not.	Malaysia Policy on Forestry 2021 & Forestry Policy of Peninsular Malaysia 2021 Deforestation is a human caused permanent conversion of forest area to non-forest land use such as agricultural, industrial, mining, roads, dams, municipalities and residential development.
Forest	Land spanning more than 0.5 hectares with trees higher than 5 metres and a canopy cover or more than 10%, or trees able to reach those thresholds in situ, excluding land that is predominantly under agricultural or urban land use.	Ministry of Natural Resources and Environmental Sustainability (NRES) Land spanning more than 0.5 hectares with trees higher than 5 metres and a canopy cover of more than 30%, or trees able to reach those thresholds in situ, excluding land that is predominantly under agricultural or urban land use.

**National Forestry Act 1984
(Act 313), Section 2**

Permanent reserved forest means any land constituted or deemed to have been constituted a permanent reserved forest under this Act.

**Environment Protection
(Prescribed Activities)
(Environmental Impact
Assessment) Order 2005
(Sabah), Section 2**

Wetland forests means forests where land is either subject to inundation with saltwater and/or freshwater, or has a high water table and such forests include mangrove forests, brackish water forests, transitional forests, freshwater swamp forests and peat swamp forests.

**Forests Ordinance 2015 (Cap.
71) (Sarawak), Section 2.**

Permanent forests means all forests reserves, protected forests, communal forests, amenity forest, Government reserves and planted forests in the State.

Smallholder	The EUDR does not include a definition of smallholders.	Rubber Smallholders Authority Act 1972 (Act 85), Section 2 A smallholder is defined as: (a) an owner or lawful occupier of land with an area of less than 40 hectares, or their lawful representative, or (b) a person declared in writing to be a smallholder by the Minister under Section 26 (Power of Minister to declare a smallholder). Malaysian Rubber Board (Licensing and Permit Regulations 2014 [P.U.(A) 119/2014] ‘Smallholder’ means a person who owns and operates one or more rubber plantations in a State the total of which is not more than 40 hectares.
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The EUDR contains a fixed definition of forest, based on the internationally agreed definition of forests by the Food and Agriculture Organization (FAO) of the United Nations, and no mechanism to recognize other definitions of forests. Therefore, operators should be aware that the definitions used by their business partners upstream might differ, and ensure the information collected on deforestation and forest degradation is aligned both with the EUDR definitions and the Malaysian definitions where the national legal framework prohibits deforestation.

2. DISCLOSING GEOGRAPHIC COORDINATES AND DATA PRIVACY

In Malaysia, the main legislation that governs the protection of privacy is the Personal Data Protection Act 2010 ('PDPA'). The PDPA regulates the processing of data in commercial transactions. Part II of the PDPA lays down seven principles which data users are required to comply with, the failure of which attracts a penalty.² The PDPA operates under the general principle that data users must obtain the consent of data subjects prior to using their personal data.³ The PDPA is enforced by the Personal Data Commissioner who is appointed by the Minister in charge.⁴

'Personal data' is defined as any information 'that relates directly or indirectly to a data subject, who is identified or identifiable from that information or from that and other information in the possession of a data user, including any sensitive personal data and expression of opinion about the data subject'.⁵ 'Sensitive personal data' is defined to mean 'any personal data consisting of information as to the physical or mental health or condition of a data subject, his political opinions, his religious beliefs or other beliefs of a similar nature, the commission or alleged commission by him of any offence or any other personal data as the Minister may determine by order published in the Gazette'.⁶

Thus, the collection, processing and disclosure of geographic coordinates for timber and rubber harvesting plots as required by the EUDR can quite easily be fulfilled with the consent of the person authorised to use the land.

It should be noted, however, that the PDPA does not apply to the Federal and State Governments.⁷ For suppliers that are government owned or government linked, this may be a problem as the data may be seen as national security data that should be protected.

In this regard, we understand that under a circular issued by the Department of Survey and Mapping in Malaysia (JUPEM), geolocation data has been classified as 'Confidential' which cannot be shared with parties outside of Malaysia due to security and sovereignty issues. It should also be noted that the circular by JUPEM only binds civil servants, and does not apply in Sabah and Sarawak, which adds to the complexities of different territories having different requirements of disclosure.

However, the relevant ministry is working closely with JUPEM to find a way to ensure compliance with the EUDR without compromising Malaysia's national security.

² See Section 5(2) of the PDPA.

³ See generally Section 6 of the PDPA.

⁴ See Section 47 of the PDPA.

⁵ See Section 4 of the PDPA.

⁶ Ibid

⁷ See Section 3 of the PDPA

3. THE FEDERAL-STATE DISTRIBUTION OF LEGISLATIVE AND EXECUTIVE POWERS UNDER THE FEDERAL CONSTITUTION

In the context of EUDR application, there are multiple agencies and ministries involved in the entire supply chain of the timber and rubber industries. It is not yet clear whether traders and operators need the permission of any or all of these agencies and ministries before inputting the required information and data as required under the EUDR.

Malaysia practices federalism, in which there is a clear demarcation of legislative and executive powers between the Federal and State Governments. The distribution of legislative powers between the Federal and State Governments in Malaysia is provided for in *Chapter 1 of Part VI of the Federal Constitution*. The power to legislate necessarily includes having the responsibility for determining policy and controlling administration. Parliament has the power to legislate at the Federal level, on matters enumerated in the *Federal List (List I)*⁸. The Legislature of a State has the power to legislate at the State level, on matters enumerated in the *State List (List II)*.⁹ Parliament does, however, have the power to make laws in respect of any matter enumerated in the *State List* in certain situations¹⁰ as well as to authorise the Legislature of a State to make laws in respect of matters enumerated in the *Federal List*.¹¹

There is a third list known as the *Concurrent List (List III)* which enumerates matters that are within the legislative competence of both the Federal Parliament as well as the State Legislative Assemblies.¹² In the event of an inconsistency between Federal and State law, Federal law shall prevail.¹³ This means that Federal law takes precedence over State law in areas where the States may also legislate, for example in *List III*. It should also be mentioned that the Legislature of a State has residual powers to make laws on matters not enumerated in any Lists in the *Ninth Schedule*.¹⁴

The distribution of the legislative powers between Federal and State as provided in the *Ninth Schedule of the Federal Constitution* is summarized in Table 1.¹⁵ Table 1 only contains the subject matters that deal either directly or indirectly with the subject matter under research in this report.

⁸ See Article 73(a) and Article 74(1) read together with List I (Federal List) or List III (Concurrent List) in the Ninth Schedule of the Federal Constitution.

⁹ See Article 73(b) and Article 74(2) read together with List II (State List) or List III (Concurrent List) in the Ninth Schedule of the Federal Constitution.

¹⁰ Article 76 of the Federal Constitution.

¹¹ Article 76A of the Federal Constitution. See for example the Electricity Ordinance 2007 (Cap 50) in Sarawak, where although electricity comes under Item 11(c) of List I (Federal List) of the Ninth Schedule of the Federal Constitution, the legislative powers were delegated to the State via F.L.N. 17 of 1964.

¹² See Article 74(1) and (2) read together with List III (Concurrent List) in the Ninth Schedule of the Federal Constitution.

¹³ Article 75 of the Federal Constitution.

¹⁴ Article 77 of the Federal Constitution.

¹⁵ Adapted from Ramalingam, S. *Federalism*. In Ashgar Ali Ali Mohamed & Muhammad Hassan Ahmad (Editors). (2022). *Constitutional Law in Malaysia*. Kuala Lumpur: Lexis Nexis.

Table 1
Summary of distribution of legislative powers
(Ninth Schedule, Federal Constitution)

List I (Federal List)	List II (State List)	List III (Concurrent List)
1. External Affairs	2. Land	3. Protection of wild animals and wild birds; national parks
7. Finance (including banking and tax)	3. Agriculture and forestry	9. Rehabilitation of mining land and eroded land
8. Trade, commerce and industry	<i>List IIA (Supplementary matters for Sabah and Sarawak)</i>	<i>List IIIA (Supplementary matters for Sabah and Sarawak)</i>
15. Labour and social security	13. Native law and custom	14. Agricultural and forestry research
16. Welfare of the aborigines		
20. Control of agricultural pests		

The distribution of executive powers mirrors that of the distribution of legislative powers, i.e. the Federal Government executes Federal laws; the State Governments execute State laws.

Due to the division or distribution of legislative and executive powers between the Federal and State Governments, there are different laws, ministries and agencies involved in implementing and enforcing the relevant laws. There is often overlap and uncertainty in the jurisdiction, functions and powers of all actors involved. The presence of multiple sectors and multiple laws have resulted in complexity. Under the Federal-State structure, many federal level functions are duplicated, to some extent, at the state level. Government departments at the state level are divided into two categories: (i) state departments that report directly to the State Governments (for example, the State Legal Advisor's Office, the State Secretary Office, and the State Financial Office); and (ii) branches of federal departments that are accountable to the Federal Government (for example, State Department of Environment, State Wildlife Departments, and State Forestry Departments). Then there are also local authorities governing a municipal area and operate under the purview of the State Government. This administrative framework, while well-intentioned, can sometimes lead to fragmentation and complexity for the public at large.

4. LAND USE AND LAND RIGHTS

States generally have absolute rights over State lands, including forested areas. States have a persistent conflict between protecting the environment and natural resources on the one hand; and developing the State for economic prosperity on the other hand. Since they have limited sources of revenue, there is always a conflict between exploitation and development. This has led to many permanent reserved forests to be de-gazetted as such, meaning that these forest areas can be cleared for agricultural or developmental purposes.

Unsustainable practices are another challenge that Malaysia faces.¹⁶ Enforcement of forestry regulations are usually undertaken by the respective State Forestry Departments. While these departments are committed to fulfilling their responsibilities, enhancing staffing and improving accessibility can further strengthen their enforcement capabilities and overall efficiency. Opportunities exist to further strengthen coordination and collaborative reporting among enforcement agencies, particularly in cross-border situations between states. While several states have proactively established councils and taskforces to address these challenges, enhancing inter-jurisdictional collaboration can help ensure more effective enforcement beyond state boundaries.

¹⁶ Lee Qing He, Nur Faziera Yaakub, Mohd Hasmadi Ismail. (22 October 2024). *Malaysia's Commitment to Sustainable Forestry and Global Climate Initiatives*. Fakulti Perhutanan dan Alam Sekitar, Universiti Putra Malaysia. Retrieved from: https://forenv.upm.edu.my/article/malaysias_commitment_to_sustainable_forestry_and_global_climate_initiatives-82614; Chester Tay. (28 February 2023). *Sarawak Recorded Most Illegal Logging Cases in 2022, Says Putrajaya*. The Edge Malaysia. Retrieved from: <https://theedgemyasia.com/node/657061>

5. INDIGENOUS / NATIVE COMMUNITY RIGHTS

Article 13 of the Federal Constitution and the Land Acquisition Act 1960 allows the government to compulsorily acquire land with adequate compensation. This can sometimes lead to ownership or land-use disputes.

5.1 Incorporating international convention/agreement

Malaysia is a party to the following international conventions that are relevant to the EUDR:

No.	International Environmental Conventions	Particulars of the Conventions	Date of Ratification
1.	Convention on Biological Diversity 1992	• It was adopted in 1992 • It came into force in 1993	Malaysia ratified this convention on 24 June 1994
2.	UN-REDD	• It is a United Nations Programme on Reducing Emissions from Deforestation and Forest Degradation • REDD+ is a framework created by the UNFCCC Conference of the Parties (COP) to guide activities in the forest sector that reduce emissions from deforestation and forest degradation, as well as the sustainable management of forests and the conservation and enhancement of forest carbon stocks in developing countries • It was created in 2008	Malaysia joined this programme in May 2012

3.	International Tropical Timber Agreement 2006	• It was adopted on 27 January 2006 • It came into force on 7 December 2011	Malaysia ratified this agreement on 28 September 2007
4.	2030 Agenda for Sustainable Development (2030 Agenda)	• This agenda introduced 17 Sustainable Development Goals (known as SDG 17), 169 Targets and more than 200 Indicators that cover 5 dimensions namely People, Planet, Prosperity, Peace and Partnership	Malaysia adopted this agenda at the United Nations General Assembly held in New York on 25 September 2015
5.	United Nations Declaration on the Rights of Indigenous People (UNDRIP)	• To protect the rights of indigenous people	The UNDRIP was adopted by the UN General Assembly in 2007, with 143 votes in favour, including Malaysia

However in Malaysia, a treaty will become part of the law of Malaysia only when Parliament passes a statute, giving legal effect to the treaty in Malaysia. In other words, international law does not apply in Malaysia unless it is incorporated into domestic law. This position is clearly stated in several Federal Court cases.¹⁷

¹⁷ See for eg *Bato Bagi & Ors v Kerajaan Negeri Sarawak and another appeal* [2011] 6 MLJ 297 on the applicability of UNDRIP in Malaysia.

5.2 Access to justice

In Malaysia, apart from bringing a private action primarily in tort for environmental harm, a litigant may also bring an action in public law. However, an action in public law (primarily by way of judicial review proceedings) is plagued with many obstacles.

First, there are stringent rules of *locus standi*. Second, judicial review mechanism includes procedures that make it challenging for ordinary citizens to mount a claim in public interest litigation, especially for the disadvantaged or oppressed groups. For example, there is a timeframe of three months to file a judicial review application, from the date 'when the grounds of application first arose or when the decision is first communicated to the applicant'.¹⁸ This may give rise to ambiguous interpretations. Third, all internal processes must be exhausted before filing a judicial review application.¹⁹

5.3 Public participation

There are very few laws providing for compulsory public participation, and therefore, FPIC rights. Existing provisions do not obligate the authorities to proactively seek participation, nor is public participation generally welcomed or considered seriously. For legislation that do provide for some form of public participation, the exact nature of how public participation is to be conducted is not clearly spelt out. Where they are spelt out, it is not known whether the authorities are bound to take into consideration the objections or comments of the public; or whether compliance with public participation is merely a perfunctory statutory obligation to be carried out without paying any attention to the voice of the public.²⁰

Hence, although there is a right to be heard, once comments are submitted, there is no institutionalised feedback process. This is because there are no provisions that the public's voice must be taken into account in the final decision making, and the authorities are under no obligation to explain their reasons to the public.



¹⁸ See Order 53 Rule 3(6) of the Rules of Court 2012 and *Damien Thaman Divean (Mewakili Pertubuhan Pelindung Khazanah Alam) & Anor v Majlis Eksekutif Negeri Selangor Darul Ehsan (Exco) & Ors* [2023] MLJU 188.

¹⁹ See *Zakaria bin Abdullah & Ors v Lembaga Perlesenan Tenaga Atom & Ors* [2013] 5 MLJ 206.

²⁰ In this regard, see *Mentari Housing Development Sdn Bhd & Anor v Abdul Ghafor Hussin & Ors* [2012] 5 MLJ 700.

5.4 Access to information

Article 10(1)(a) of the Federal Constitution guarantees the freedom of speech and expression of Malaysian citizens. Implicit within this right is the right of access to information, because only when there is freedom to express ideas, exchange and disseminate information, can there be access to information.²¹ However, the Federal Constitution itself provides for Parliament to enact laws to restrict such freedom under the grounds of, amongst others, security of the Federation, public order, morality, defamation or incitement to offences.²² As a result of this, Parliament has in fact enacted numerous laws restricting the freedom of speech and expression, along with its corresponding right of access to information.

In the context of the EUDR, the most pertinent legislation would be the Official Secrets Act 1972 ('OSA'). Section 2 defines an 'official secret' as 'any document specified in the Schedule to the Act and any information and material relating thereto', as well as any other information, document or material that may be classified as 'Top Secret', 'Secret', 'Confidential' or 'Restricted', by designated Ministerial officials²³ or designated public officials.²⁴ The Schedule to the Act lists three categories of documents that are always considered 'official secret': (i) Cabinet records, records of decisions and deliberations including those of Cabinet committees; (ii) State Executive Council documents, records of decisions and deliberations including those of State Executive Council committees; and (iii) documents concerning national security, defence and international relations.²⁵

Section 16A provides that any certificate of secrecy issued by practically any public official is conclusive evidence that a document is in fact an official secret.²⁶ The Act does not provide for any minimum level of seniority for the public official who may be designated to classify information or documents. An executive decision on classifying the secrecy of information is beyond judicial enquiry. Any person who communicates any official secret faces criminal sanctions of not less than one year and not more than seven years imprisonment,²⁷ and the Government is armed with extensive powers which enhance its ability to detect infringements and secure convictions under the OSA.²⁸ Hence, it can be reasonably concluded that the amount of information subject to classification as an official secret is potentially unlimited.

²¹ See *Sivarasa Rasiah v Badan Peguam Malaysia & Anor* [2010] 2 MLJ 333, where it was held by the Federal Court at 343-344: 'Article 10 contains certain express and, by interpretive implication, other specific freedoms...The right to be derived from the express protection is the right to receive information, which is equally guaranteed.'

²² See Articles 10(2), (3) and (4) of the Federal Constitution.

²³ See Section 2(3) of the OSA.

²⁴ See Section 2B of the OSA.

²⁵ See also Section 2A of the OSA which allows the Minister to add to, delete from, or amend any provision in the Schedule, through an order published in the Gazette.

²⁶ See *Sharifah Sofia bt Syed Hussein (representing Hak Asasi Hidupan Liar Malaysia Global) & Ors v Pengarah Kepada Lembaga Kebajikan Haiwan* [2022] 12 MJ 37, where the defendant in this case did not produce any certificate by a public officer certifying the documents sought were official secrets; thus the Court dismissed the claim that the documents were official secrets under the OSA.

²⁷ See Section 12 of the OSA.

²⁸ See Sections 18, 19, 20 and 23 of the OSA.

5.5 The challenge

A commodity originating from land that potentially infringes on indigenous or natives' rights fall foul of EUDR requirements. Therefore, as long as there is a pending dispute or litigation in court over NCR or indigenous rights over land use, the commodity cannot be placed on the EU market. Operators and traders must therefore always be aware of pending or even potential disputes over land rights when complying with due diligence requirements under the EUDR. For immediate purposes, operators and traders would have to conduct searches in the relevant courts to see if there are any such pending claims. A long-term solution would be to have consistent and frequent engagement with local communities to avoid this potential risk for commodities produced on native or indigenous land.

Again, in the context of the EUDR, geolocation or polygon coordinates may be classified as an 'official secret' that cannot be shared with outside parties due to security and sovereignty issues. However as mentioned earlier, the relevant ministry is working closely with JUPEM to find a way to ensure compliance with the EUDR without compromising Malaysia's national security.

6 LACK OF FUNDING FOR CREATING AN ENABLING ENVIRONMENT FOR COMPLIANCE

One of the key challenges in Malaysia's efforts to prepare for EUDR application lies in the lack of adequate funding. Compliance with the EUDR mandates stringent measures to ensure legality, traceability, and enforcement in the production and export of commodities linked to deforestation. However, Malaysian domestic agencies such as the MRB can play an important role by creating enabling framework conditions, e.g. by contributing to collecting geolocation data, delineating polygons for relevant agricultural or forested sites, verifying supply chain compliance, and developing internal databases to capture the relevant due diligence information, such as the MSNR Trace system developed by the MRB. While the primary obligation under the EUDR rests with operators and traders, they remain bound by Malaysian laws; thus, if Malaysian regulations designate a domestic agency to oversee a particular industry, it becomes the agency's responsibility to ensure that the national legislative framework meets and complies with the EUDR, thereby facilitating the successful export of products under its framework. Some of the efforts that fall on domestic agencies' responsibilities include acquiring advanced technological tools, skilled personnel, and robust monitoring systems, all of which demand substantial financial resources. The lack of dedicated funding exacerbates existing challenges, limiting the capacity of agencies to establish comprehensive traceability systems or enforce regulations effectively.

SUGGESTIONS AND RECOMMENDATIONS

1. To enable Malaysian supplier companies to effectively support EU Operators, the following suggestions and recommendations are proposed:

1.1 Implement Robust Legal Compliance and Traceability Systems

Develop and integrate supply chain legality requirements and traceability mechanisms to track and ensure that all legal requirements such as permits and licences are valid and subsisting for commodities from their source to the end market. This includes complying with national mandatory certification schemes, national guidelines or other non-binding regulations such as the Timber Legality Assurance System (TLAS), Sarawak Timber Legality Verification System (STLVS) and the Malaysian Timber Certification Scheme (MTCS) for timber, and the Malaysian Sustainable Natural Rubber (MSNR) SOP for rubber. The traceability mechanisms should include collecting and maintaining accurate geolocation data, and site polygons.

It is also essential for EU operators to engage in clearer and more effective communication with their counterparts here in Malaysia, and vice versa. Strengthening communication will help ensure that all legal requirements are properly understood and adhered to, facilitating smoother compliance and mutual cooperation. Apart from that, the relevant ministries and agencies in Malaysia will also continue to provide regular updates on EUDR to Malaysian operators or exporters to ensure that they are well informed.

1.2 Support Clients by Conducting Regular Due Diligence

Establish procedures to support clients in the role of an operator in their due diligence obligations to ensure that products meet EUDR standards. This includes verifying suppliers, collecting relevant information, conducting risk assessments, implementing risk mitigation measures in case of non-negligible risk of deforestation or illegal production and documenting evidence to demonstrate compliance.

1.3 Regular engagement with local communities

Actively and regularly engage with local communities, including native, aboriginal, and indigenous groups, to ensure transparency and mutual understanding of their operations. This engagement is essential to inform these communities about planned activities, address concerns proactively, and foster trust. Furthermore, such consultations play a pivotal role in avoiding potential legal disputes related to land use rights, as they provide an opportunity to clarify boundaries, secure consent, and uphold the rights and traditions of these communities, ensuring that operations are both ethical and compliant with international standards.

1.4 Invest in Training and Capacity Building

Train staff and local suppliers on EUDR requirements and best practices for sustainable production, especially on risk mitigation strategies when identifying risks in the supply chain which can be mitigated through such investments. Awareness and education can help improve compliance across the supply chain.

1.5 Collaborate with Technology Providers

Utilize digital technology such as satellite imagery, blockchain or QR codes, and geospatial mapping tools to monitor land use and demonstrate that production sites are not contributing to deforestation or illegal activities. However, financial constraints may be a hindrance especially for micro and small-scale operators. Financial support could be sought through green bonds, sustainability-linked loans, or other funding mechanisms to upgrade operations and ensure compliance.

1.6 Engage with Experts and Consultants

Work with environmental experts, consultants, and NGOs who specialize in EUDR compliance to get guidance on meeting technical and legal requirements.

1.7 Strengthen Supplier Relationships

Collaborate closely with suppliers to ensure they understand and adhere to EUDR standards. Offer support to smaller suppliers who may lack resources to meet the requirements independently.

1.8 Participate in Multi-Stakeholder Dialogues

Join dialogues and initiatives with governments, NGOs, and international organizations to align practices with global standards and access knowledge-sharing opportunities.

1.9 Proactively Monitor Deforestation Risks

Monitor and manage land use changes in production areas. Early detection of deforestation can help operators mitigate risks before non-compliance occurs.

2. How government actors can support supply chain actors on meeting the EUDR legality requirements

2.1 Standardize and Strengthen Certification Schemes and Regulations

- Set up a traceability system compatible with the EUDR. This can be achieved by aligning the Malaysian Timber Certification Scheme (MTCS) and the Timber Legality Assurance Systems (TLAS) with the EUDR requirements to increase market acceptance, with the same requirements throughout Malaysia to ensure uniformity and consistency. At the moment, all three regions i.e. Peninsular Malaysia, Sabah, and Sarawak, are strengthening their TLAS to align with the EU Timber Regulations (EUTR) and FLEGT requirements. The three systems are:
 1. MyTLAS (Peninsular Malaysia)
 2. Sabah TLAS (Sabah)
 3. Sarawak Timber Legality Verification System (STLVS) (Sarawak)
- It would also be beneficial if all timber products adhere to globally recognized certifications like the Forest Stewardship Council (FSC) or the Programme for the Endorsement of Forest Certification (PEFC) and thereby increase the probability of Malaysian products to meet EUDR requirements. In this regard, it should be kept in mind certified products are not considered automatically as EUDR compliant; companies would still be required to conduct full due diligence nevertheless.
- Make the Malaysian Sustainable Natural Rubber (MSNR) SOP a compulsory requirement for all rubber exports. At the moment, it is included as a condition for the issuance of licences and permits, and as at 5 May 2025, the MSNR Trace System has been made mandatory for licence holders in the processing factory and rubber trade categories. This is definitely a step in the right direction, but it could be made into a legal requirement with enforcement powers and penalties for non-compliance. The MSNR should be made applicable throughout Malaysia. At present, the Sabah Rubber Industry Board (LIGS) and the Sarawak Rubber Industry Board (SARIB) are voluntarily adopting the MSNR, which is an indication that the MSNR could be nationally enforced.

2.2 Enhance monitoring methods

- Enhanced monitoring methods, such as deploying more forest rangers, utilizing drones or satellite imagery can support efforts to detect and combat unsustainable practices.
- Encourage reports of unsustainable practices with proper legal protection and rewards for whistleblowers.
- Conduct more robust and regular federal-state engagements, collaborations, cooperation and coordination. In this regard, Malaysia is moving in the right direction to ensure legal timber trade by strengthening TLAS and actively participating in the *Asia-Pacific Economic Cooperation (APEC) Experts Group on Illegal Logging and Associated Trade (EGILAT)*. Additionally, enforcement efforts are coordinated through the *TLAS Implementing Agency Coordination Committee (IACC)* and periodic TLAS Independent Assessments conducted by third-party monitors.

2.3 Regular engagement with local communities

- Actively and consistently engage with local communities, including indigenous, native, and aboriginal groups, to ensure they are well-informed about ongoing and planned operations within their territories.
- Such engagement is crucial for promoting transparency, addressing concerns, and building trust with these communities.
- Additionally, this process helps prevent legal conflicts related to land use rights by clarifying boundaries, respecting traditional practices, and securing consent, thereby ensuring that all activities align with ethical principles and international compliance standards.
- Provide stronger legal representation to enhance awareness and strengthen legal rights.

2.4 Support for micro or smallholders

- Provide technical training for smallholders on sustainable rubber tapping and planting practices and geotapping and training funded by the EU.
- Offer subsidies and/or loans to help smallholders transition to sustainable practices.
- Encourage smallholders to form cooperatives to achieve economies of scale and afford certification costs.
- Educate smallholders and exporters on EUDR requirements, helping them adjust their practices proactively.

2.5 Forest Reserves

- Increase the proportion of forests designated as permanent reserves and ensure they are strictly protected.
- Encourage plantations on degraded lands instead of natural forests to reduce deforestation.
- Incentivize plantations on degraded or abandoned agricultural land rather than converting forests and invest in forest restoration projects to offset historical deforestation (knowing that there is no compensation scheme under the EUDR but forest restoration pays off for climate and biodiversity).
- In Peninsular Malaysia, the State Governments could synchronise the information on *de-gazetting* forest areas with the Federal Forestry Department.

2.6 Obtain international assistance

- Engage in talks with the EU to clarify expectations and align Malaysia's initiatives with EUDR guidelines.
- Obtain targeted financial assistance especially from the EU. Implementing the EUDR requires substantial investment in systems for legality verification, traceability, and enforcement, including the collection of geolocation data and mapping of relevant sites. Given the financial constraints faced by Malaysian domestic agencies, external funding from the EU would enable the development of robust monitoring infrastructure, the acquisition of advanced technologies, and the training of personnel needed to uphold the regulation's standards. By providing funding, the EU can help bridge resource gaps and ensure equitable participation in achieving deforestation-free supply chains. In this regard, Malaysian companies and smallholder associations should remind companies in the operator role of their obligation to conduct risk mitigation measures that could include capacity building for, and investments in smallholders to provide them with financial assistance.

CONCLUSION

By and large, Malaysia's timber and rubber industries have demonstrated substantial preparedness for meeting the EUDR criteria. The existing legal and regulatory frameworks governing land use rights, environmental protection, labour and human rights, forestry and agricultural practices, and anti-corruption efforts in Malaysia are generally aligned with the legality and traceability requirements outlined under the EUDR. Moreover, the proactive initiatives by federal and state agencies such as the Malaysian Timber Industry Board (MTIB), the Malaysian Rubber Board (MRB), and related agencies reflect a strong institutional commitment to ensuring deforestation-free, legal, and sustainable supply chains.

However, several critical areas warrant further improvement to ensure full and consistent compliance. These include the harmonisation of legal definitions (especially on 'forest' and 'deforestation'), enhanced access to geolocation data while addressing national security concerns, streamlined inter-agency coordination across federal and state jurisdictions, and stronger protections for indigenous and native community rights, including meaningful implementation of Free, Prior and Informed Consent (FPIC). Additionally, practical challenges related to administrative fragmentation, transparency, enforcement capacity, and access to justice remain pertinent and must be addressed through systemic reforms.

As the EUDR implementation deadline draws near, continued dialogue and capacity-building among Malaysian stakeholders encompassing government, industry actors, and civil society, will be critical. Large companies have a role to play in terms of supporting their suppliers, in particular smallholders. Closing the remaining legal and procedural gaps will not only facilitate market access for Malaysian commodities but also reinforce the country's leadership in sustainable natural resource governance on the global stage.

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